

it carried accumulated dividends of nearly \$12 per share, which of course would have to be paid before the common could receive anything. (E.g., on October 17, 1936, the preferred sold at 113 against 157/8 for the common.)

Clearly a switch from the common into the preferred would have been a wise move. The preferred stock could not be worth less than seven times the price of the common; it might sell at more than this ratio, especially if the common declined in price; it was certain to receive substantial dividends before anything was disbursed on the common. The sequel promptly bore out this analysis. In December 1936 back dividends of \$12 per share were paid on the preferred. In November 1937 the preferred sold at 92¹/₄, vs. only 10¹/₄ for the common, showing a spread of 20¹/₂ points. Including \$4.50 of additional dividends paid on the preferred up to that time, the aggregate advantage accruing to the preferred stock as against the common amounted to fully \$35 per share of preferred.

A virtually identical situation existed in Studebaker Corporation 3–6% Debentures, due 1945, and the common stock in 1936. The bonds were convertible into 80 shares of common; they carried 3% fixed interest and 3% cumulative contingent interest, of which 55/8% had accrued by November 18. Yet their price was 120¹/₂, practically on a parity with the price of 15 for the common. Less than a year later the bonds sold at 59³/₄ against only 3 for the common—a “spread,” or profit, on the exchange of 35¹/₄ points, exclusive of 3% fixed interest received on the bonds.³

“Parity,” “Premium,” and “Discount.” When the price of a convertible bond or preferred is exactly equivalent, on an exchange basis, to the current price of the common stock, the two issues are said to be selling at a *parity*.⁴ When the price of the senior issue is above parity it is said to be selling at a *premium*, and the difference between its price and conversion

³ In the latter part of 1938 and 1939 a similar close relationship existed between the price of Baldwin Locomotive Works 6s, due 1950, convertible into 65 shares of common stock, and the price of the common. Compare the highs of 17¹/₄ for the stock and 116¹/₂ for the bonds in 1938, with the respective lows of 9¹/₈ and 82¹/₂ and the subsequent highs of 21¹/₄ and 139 in 1939.

⁴ This should not be confused with par, which means simply the face value of the security in question. “Par,” when applied to the price of a common stock, nearly always means \$100 per share and has no reference to the real par value of the share, which may be quite different.